

Arsi University
College of Business and Economics
Department of Management
Model Exam2

Name _____ ID Number _____

1. A time period in which the appropriateness of newly hired employee is tested is termed as;

- A. Retirement
- B. Probation
- C. Socialization
- D. Induction

ANSWER:B

2. Which of the following can be a remedial alternative in case employee supply exceeds employee demand?

- A. Subcontracting
- B. Recruitment
- C. Overtime work
- D. Early retirement

ANSWER:D

3. Bureaucratic leadership style is ineffective when:

- A. Staff loses their interest in their jobs and in their co-workers
- B. Staff performing routine tasks over and over
- C. Staff needs to understand certain standards or procedures
- D. Safety or security training conducted

ANSWER:A

4. Which one of the following intelligent technique does not arrive at the same solution again with the same input data

- A. Fuzzy logic

- B. genetic algorithm
- C. neural network
- D. case based reasoning

ANSWER:C

5. Athlete Derartu Tulu, a famous long runner, participates in different kinds of national occasions including playing a negotiator role whenever there is conflict among individuals and parties. What kind of power was she possibly exercising to influence others?

- A. Expert power
- B. Referent power
- C. Reward power
- D. Coercive power

ANSWER:B

6. Which one of the followings is not correct about the assumptions of Maslow's need theory?

- A. Only unsatisfied need can influence behavior
- B. A person's need is arranged hierarchically
- C. A person will at least minimally satisfy each level of need before filling the need at the next level
- D. A person who couldn't satisfy his higher level of needs, frustrate and go back to the lower level of needs.

ANSWER:D

7. Suppose data are normally distributed with a mean of 120 and standard deviation of 30. Between what two values will approximately 68% of the data fall?

- A. 60&180
- B. 105&135
- C. 90&150
- D. 30&210

ANSWER:C

8. The first and the most crucial step for starting a business which can convert a simple idea/innovation into a successful business venture is referred to as?

- A. Idea generation
- B. Innovation
- C. Business plan
- D. Creativity

ANSWER:C

9. Which one of the following is not the importance of a business plan?

- A. To plan what to do in the courses of the business establishment process.
- B. To measure the performance on how things have been done.
- C. To strictly and over control peoples in the business establishment and development.
- D. To show the demand and sources of different resources.

ANSWER:C

10. A researcher is studying students in college in California. She takes a sample of 400 students from 10 colleges. The average age of all college students in California is

- A. A statistic
- B. A parameter
- C. The median
- D. A population

ANSWER:B

11. The type of statistics that is concerned with the procedure and methodology for obtaining valid conclusions is called

- A. Population statistics
- B. Inferential statistics
- C. Descriptive statistics
- D. parameter

ANSWER:B

12. All of the following are true about management except:

- A. Management is a social process as it involves human element of employees
- B. Organizations having too many hierarches have three levels of management
- C. Management draws its concepts both from art and science
- D. Managerial skills are equally essential for different levels of management

ANSWER:D

13. Managers should initiate changes and supports innovation to improve organizational performance:

- A. Decisional role
- B. Entrepreneur role
- C. Negotiator role
- D. Resource allocator role

ANSWER:B

14. According to Fayol's fourteen series of administrative principles, which one could be used as managers should promote harmony and discourage or avoid those things that disturb harmony as well as share enthusiasm or devotion to the organization?

- A. Authority and responsibility
- B. Unity of command
- C. Unity of direction

D. Esprit de corps'

ANSWER:D

15. The degree to which numerical data tend to spread from an average value of the data is known as

- A. Central tendency
- B. Dispersion
- C. Statistics
- D. Standard deviation

ANSWER:B

16. Which one of the following is not the characteristic of binomial probability distribution?

- A. The probability of success and probability of failure are the same for each trial
- B. The number of trials is fixed
- C. The trials are independent
- D. The trials are dependent

ANSWER:D

17. Which one of the following statement is false regarding normal probability distribution?

- A. It is specified by its mean and standard deviation
- B. The mean & standard deviation of standard normal distribution are 1 and 0 respectively
- C. It is bell shaped and has a single peak at the center of the distribution
- D. It is symmetrical about the mean

ANSWER:B

18. *Gender* and state of birth are examples of which type of data?

- A. Discrete
- B. Continuous
- C. Categorical
- D. Ordinal

ANSWER:C

19. Over the past 5 years, the return on stock A has averaged 10% with standard deviation of 3%.

The return on stock B has averaged 4 % with standard deviation of 1%. Which of the following statement is true?

- A. Stock A has smaller relative variation than stock B
- B. Stock B has smaller relative variation than stock A
- C. Both stocks exhibit the same relative variation
- D. Unable to tell with the given information

ANSWER:B

20. What is the value of X1 & X2 respectively in the following linear programming problem;

Maximize $Z = 4X_1 + X_2$

Subject to: $5X_1 + 10X_2 \leq 450$

$X_1 + X_2 \geq 30$

$X_1, X_2 \geq 0$

A. 0 and 45

B. 90 and 0

C. 0 and 30

D. 30 and 0

ANSWER:B

21. Which one is true about Ethiopia financial system

A. It is market based financial system because huge amount of money transfer from surplus unit to deficit unit through financial markets

B. It is bank based financial system and banks mobilize money from one economic unit to the other economic unit efficiently at low cost and low interest because of this investment is widely spread.

C. The absence of organized secondary financial market and a less organized primary market of the nation makes the banks the only player of the system. Even if banks are participating in good manner but still the circulation of money is slow, because of this investment are promoted as expected.

D. Is bank based and the velocity of money is flowing as required because this the economy is growing in a well manner

ANSWER:C

22. In Program Evaluation Review Technique for an activity, the optimistic time 2, the pessimistic time is 12 and most likely time is 4. What is the expected time?

A. 0

B. 1

C. 5

D. 6

ANSWER:C

23. A company manufactures two products 'X' and 'Y'. Each product has to be processed in three departments: welding, assembly and painting. Each unit of X spends 2 hours in the welding

department, 3 hours in assembly and 1 hour in painting. The corresponding times for a unit of Y are 3, 2 and 1 hours respectively. The employee hours available in a month are 1,500 for the welding department, 1,500 in assembly and 550 in painting. The contributions to profits are \$100 for product X and \$120 for product Y.

What is the objective function (Z) to be maximized in this linear programming problem (where Z is total profit in \$)?

- A. Maximize $Z = 120X + 100Y$
- B. Maximize $Z = 1500X + 1500Y$
- C. Maximize $Z = 2X + 3Y$
- D. Maximize $Z = 100X + 120Y$

ANSWER:D

24. Goods have to be transported from S_1 , S_2 and S_3 to destinations D_1 , D_2 and D_3 . The transportation cost per unit, capacities of the sources and the requirements of the destinations are given in table below.

	D1	D2	D3	Supply
S1	8	5	6	120
S2	15	10	12	80
S3	3	9	10	80
Demand	150	80	50	

Based on the above data, how many units will be transported over the route S1 to D3 if northwest Corner method (NWCM) and Least Cost method (LCM) used respectively?

- A. 0 and 40
- B. 50 and 0
- C. 120 and 0
- D. 70 and 50

ANSWER:A

25. _____ is a person who does entrepreneurial work within large organization.

- A. Individual entrepreneur

- B. Intrapreneur
- C. Entrepreneurial Organization
- D. Social Entrepreneurship

ANSWER:B

26. Which one of the following can not be a good source of business idea?

- A. Learn from successful business owners.
- B. Ones Owen experience.
- C. Local business area survey.
- D. Taking the idea of other common business in the area.

ANSWER:D

27. In time value of money concept

- A. Birr today is less worthy than birr tomorrow
- B. Birr today is more worthy than birr tomorrow
- C. Birr today is equal with birr tomorrow
- D. Time has no effect on Birr value

ANSWER:B

28. An organizational structure which group people by function and product teams simultaneously is called?

- A. Product Team Structure
- B. Matrix structure
- C. Hybrid structure
- D. Functional Structure

ANSWER:B

29. Which one is false

- A. Commercial banks are depository financial institutions
- B. Development bank of Ethiopia is depository financial institutions
- C. Insurance and pension fund are non-depository institution
- D. Credit and saving associations, micro finances, SACCOS are depository financial institutions.

ANSWER:B

30. For which activity in the knowledge management value chain is Document management system (that digitize, index, and tag documents according to a coherent framework) is of great importance?

- A. acquisition
- B. Dissemination
- C. application
- D. storage

ANSWER:D

31. Which one of the following refers to the collective and individual experience of applying knowledge to the solution of problems

- A. Data
- B. Information
- C. Knowledge
- D. Wisdom

ANSWER:D

32. Which bank is correctly matched with its main function

- A. Commercial bank facilitating international trade
- B. Mortgage bank promoting house construction
- C. Exchange bank promoting local trade activities
- D. Insurance promoting saving

ANSWER:B

33. A study of business environment offers the following benefits, except?

- A. Provides information about environment, which is essential for successful operation of business firms.
- B. It opens up fresh avenues for the expansion of new entrepreneurial operations.
- C. Knowledge about changing environment enables businessmen to adopt a dynamic approach and maintain harmony of business operations with the environment.
- D. Help to take very risky decision.

ANSWER:D

34. What is the total cost, when using NWCM based on the above problem (Question-6)?

- A. 5650
- B. 2680
- C. 3680
- D. 4560

ANSWER:B

35. Graphical method of linear programming is useful when the numbers of decision variable are _____.

- A. 3
- B. 2
- C. 4
- D. Infinite

ANSWER:B

36. Which one of the following is the major source of managerial power or influence?

- A. Coercive power
- B. Reward power
- C. Legitimate power
- D. Expert power

ANSWER:C

37. Are controls that give managers instant feedback and it applies to process:

- A. Feedback controlling
- B. Concurrent controlling
- C. Feedforward controlling
- D. Preventive controlling

ANSWER:B

38. What of the following is not the purpose of medical examination certificate required from a newly recruited employee?

- A. To reject his/her employment if he/she is found unhealthy
- B. To assign him/her in a position which fits to his/her illness
- C. To identify the liability of the employer
- D. To evaluate the health benefits required from the employer

ANSWER:A

39. Which one of the following is Transformational leader Behaviors

- A. Contingent reward
- B. Active management by exception
- C. Passive management by exception
- D. Idealized influence

ANSWER: B

40. According to Douglas McGregor theory of Y, employees are:

- A. Lazy
- B. Uncooperative
- C. Have poor work habits
- D. Have positive attitudes to work

ANSWER: D

41. One strategic business reason for offering a comprehensive benefits package to employees is:

- A. to help attract and retain employees
- B. to beat out the competition
- C. to decrease employer operating costs
- D. to offer cafeteria-style health care plans to employees

ANSWER:A

42. What provides counseling and other help to employees having emotional, physical and other personal problems?

- A. Employee Service programs
- B. Drug Free Workplace Act
- C. OSHA
- D. Employee wellness programs

ANSWER:D

43. A type of survey in it Data is collected at one point in time from a sample selected to describe some larger population at that time is

- A. Longitudinal
- B. Cohort studies
- C. Cross sectional
- D. Panel studies

ANSWER:C

44. Which one of the following is respondent error?

- A. Interviewer cheating
- B. Deliberate Falsification
- C. Sample selection error
- D. Data processing error

ANSWER:B

45. A type of research aims at finding a solution for an immediate problem facing a society or an industrial/business organization is

- A. Conceptual
- B. Fundamental
- C. Action
- D. Analytical

ANSWER:C

46. A variability that exists between in a set of observation is

- A. mean
- B. Dispersion
- C. median
- D. mode

ANSWER:B

47. Which of the following is a legally mandated employee benefit in Ethiopia?

- | | |
|------------------------------|------------------------------|
| A. Social security | D. Life and health insurance |
| B. unemployment compensation | ANSWER:D |
| C. workers' compensation | |

48. Which of the following is the first step to conduct employee's performance appraisal?

- A. Establish performance standard
- B. Measure actual performance
- C. Identify performance gap
- D. Communicate performance result

ANSWER:A

49. Which one of the following is correct about participant observation?

- A. The researcher becomes part of the group studied and participates in their daily life and activities
- B. they may not wish to take part in
- C. observing their everyday situations and their behavior in these situations
- D. Conversation is used in order to discover the subjects' own interpretations of events.

ANSWER:A

50. Identify the incorrect statement

- A. If the population is normal, then the sampling distribution of the sample mean is also normal for all sample size.
- B. As the sample size increases, the shape of sampling distribution of the sample means tends to be more and more approximate to normal distribution.
- C. Sampling distribution of the sample mean is normal if the sample size is less than or equal to 30 irrespective of the shape of the population distribution.
- D. A normal distribution has a bell shaped curve.

ANSWER:C